

Ag Commodities Trading Playbook

A practical framework for trading acreage, fertilizer, natural gas, weather, and USDA event risk in corn and soybeans

Prepared March 28, 2026

Relative value

Primary spread: long the crop with the better margin regime and short the crop with the weaker one.

Inputs

Track natural gas → ammonia/urea first. Fertilizer shocks normally matter more for corn than soybeans.[1][2][3]

Demand

Corn ties heavily to ethanol, feed, and exports; soybeans tie to crush, meal, oil, biofuel, and exports.[4][5]

Catalysts

Most important scheduled events: Mar 31 Prospective Plantings + Grain Stocks, monthly WASDE, weekly Crop Progress, and Jun 30 Acreage.[11][12][13][14]

Core idea: corn and soybeans compete for acres, but corn is more exposed to nitrogen fertilizer shocks.

Use this playbook for directional trades, relative-value spreads, or a disciplined pre-trade checklist.

01 Executive brief

Bottom line

- Corn and soybeans compete for acres, but input sensitivity is not equal. Corn typically needs a heavy nitrogen fertilizer program, while soybeans can source much of their nitrogen through fixation when nodulation is functioning.[1][2]
- Natural gas matters because it is both a feedstock and a fuel for ammonia, the base of nitrogen fertilizers. A gas spike can quickly transmit into corn margins and acreage decisions.[3]
- Downstream demand is also asymmetric: nearly all U.S. fuel ethanol is produced from corn kernel starch, while vegetable oils—mainly soybean oil—are the main feedstocks for U.S. biodiesel production.[4][5]
- The next major U.S. catalysts are March 31, 2026 Grain Stocks and Prospective Plantings at 12:00 p.m. ET, followed by the April 9, 2026 WASDE at 12:00 p.m. ET.[11][12]
- As of Iowa's 2026 cost budgets, projected corn costs were up 4% versus 2025, driven mainly by higher fertilizer and chemical costs; soybean costs were up 2%.[16]

Market map

Market	What it mainly trades	Why it matters here	Good expression
Corn	Acreage, yield, ethanol/feed/export demand	Highest fertilizer-cost asymmetry; key anchor for the Dec corn / Nov soybean spread.[2][4]	Outright or spread leg
Soybeans	Acreage, crush, exports, oil/meal split	Often gains relative appeal when fertilizer shocks compress corn economics.[1][5]	Outright or spread leg
Soybean meal	Feed demand and crush margin	Helps confirm whether a bean move is crush-led rather than pure acreage.	Complex confirmation
Soybean oil	Biofuel and food demand	Useful when bean strength is actually oil-led rather than broad soybean strength.[5][17]	Demand overlay
Urea / fertilizer	Input cost shock	Can front-run margin pressure before it fully shows up in crop prices.[3][10]	Input hedge or overlay

Important nuance

- Soybeans are not low-nitrogen plants; they are low-nitrogen-fertilizer plants when inoculation and nodulation work.
- That distinction matters because the market trades supplemental fertilizer exposure, not just total plant nutrient need.

Current context (late March 2026)

Why the next 10 days matter	
Now	USDA lists Grain Stocks and Prospective Plantings for Tuesday, March 31, 2026 at 12:00 p.m. ET.[11]
Next	USDA's next monthly WASDE release is April 9, 2026 at 12:00 p.m. ET.[12]
Context	March 2026 WASDE kept U.S. soybean ending stocks at 350 million bushels and lowered soybean oil for biofuel use to 14.0 billion pounds.[17]

02 Fertilizer asymmetry: where the spread usually starts

If you only remember one structural fact, remember this: soybeans and corn compete for acres, but corn usually wears more of the nitrogen fertilizer risk.

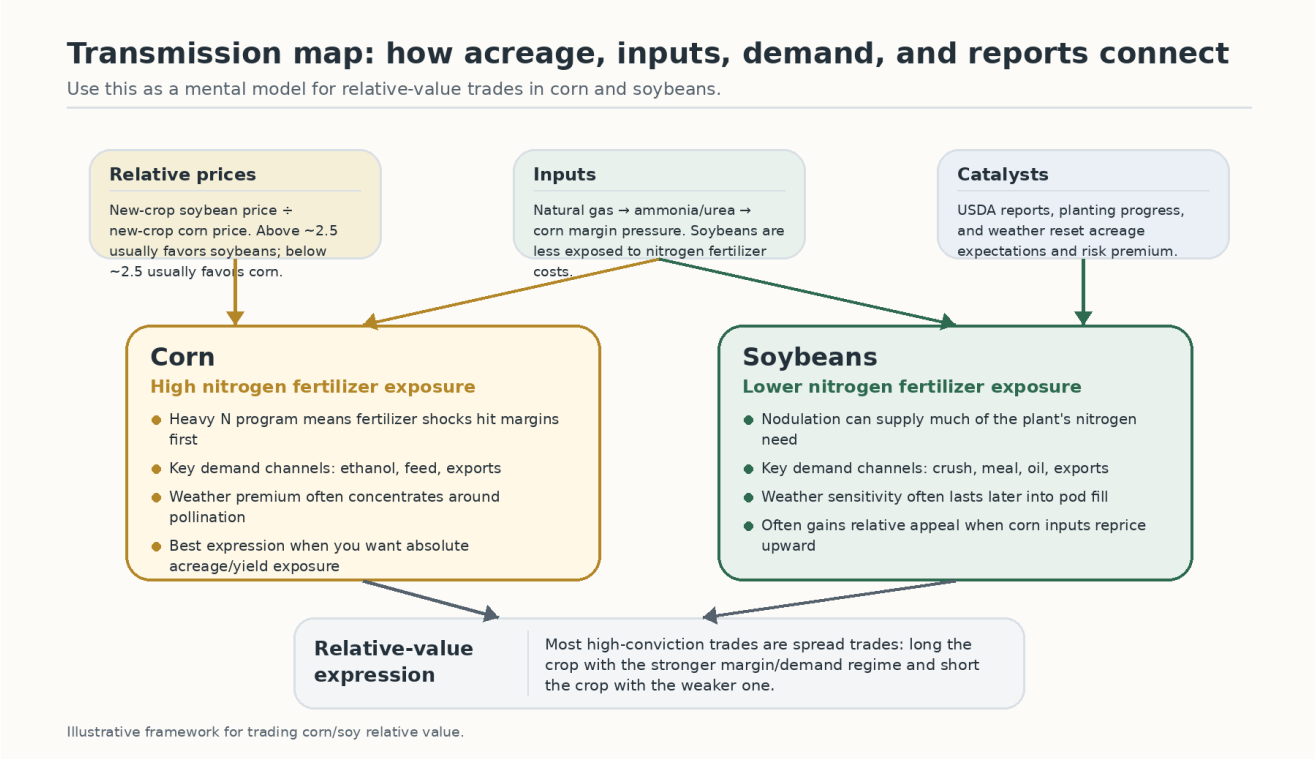
Factor	Corn	Soybeans
Supplemental N	Heavy N program. A simple extension rule of thumb is 1.3 lb N per bushel of corn yield goal; 200 bu/ac implies ~260 lb N/ac.[2]	Supplemental N is often limited or unnecessary if inoculation and nodulation are working.[1]
Agronomic nuance	Falling fertilizer prices improve margins quickly; rising prices squeeze fast.	High soil nitrate can suppress fixation, but soybeans still avoid most of the direct nitrogen fertilizer bill when nodulation works.[1]
Market implication	More vulnerable to urea/ammonia repricing and to sharp moves in natural gas.[3]	Often the preferred relative leg when fertilizer spikes dominate the tape.
2026 cost signal	Iowa's 2026 cost budgets show corn costs up 4% vs. 2025, led mainly by higher fertilizer and chemical costs.[16]	Iowa's 2026 soybean costs were up 2% vs. 2025—still higher, but less exposed than corn.[16]

Trader takeaway

- Rising gas/ammonia/urea with flat crop prices is usually a relative headwind for corn.
- Falling gas/urea with improving ethanol or export demand is usually a relative tailwind for corn.
- Rotation constraints and local agronomy matter, so expect tendencies rather than one-for-one acreage switching.

03 Transmission map and scorecard

Use the visual below to avoid mixing separate regimes. The strongest trades line up the price ratio, input trend, seasonal window, and demand signal in the same direction.

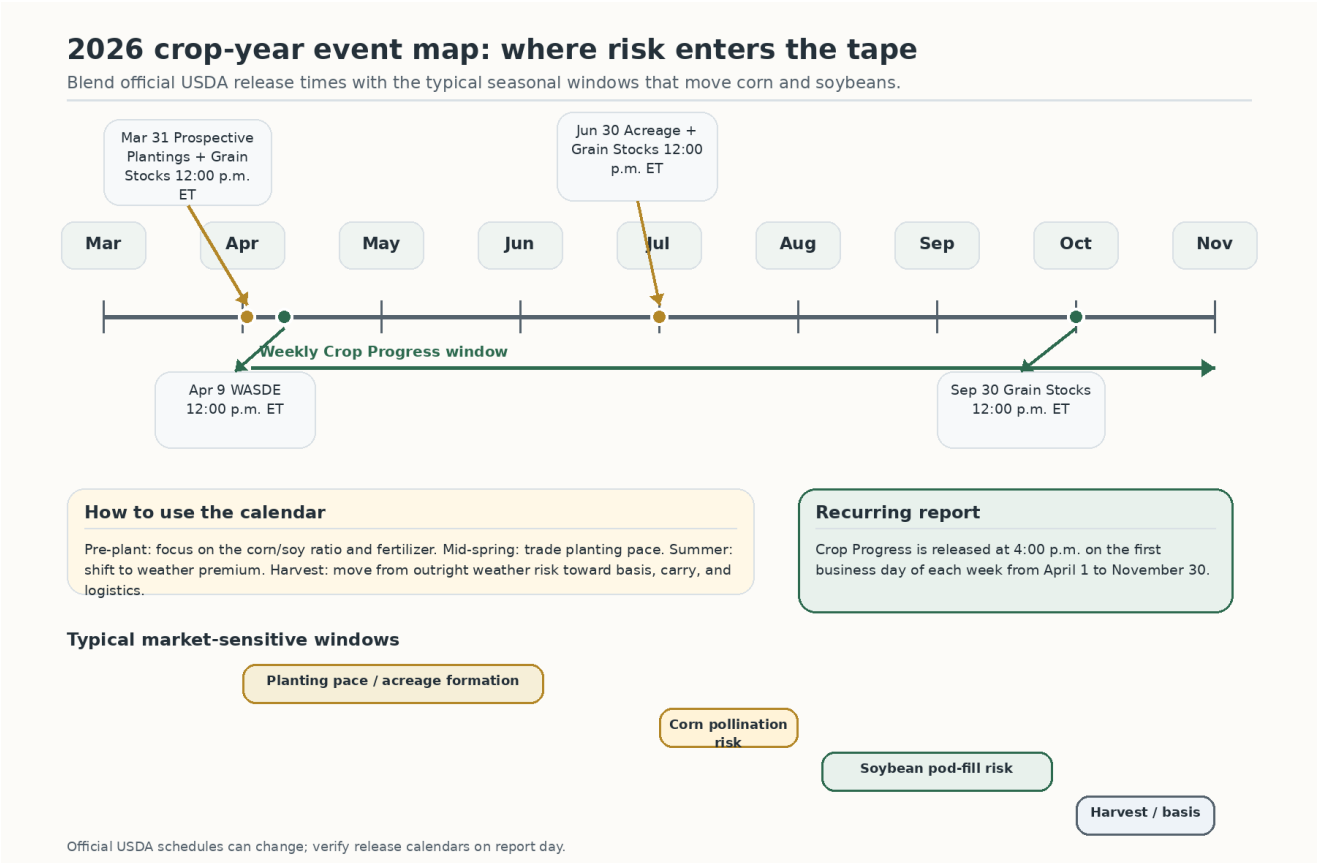


Five-factor scorecard

Signal	Bullish corn relative to soy	Bullish soy relative to corn
New-crop ratio	Below ~2.5 is a common benchmark that tends to favor corn.[15]	Above ~2.5 tends to favor soybeans. [15]
Fertilizer trend	Urea and natural gas stable or falling.	Urea and natural gas rising sharply.
Spring planting	Fast fieldwork and an open corn window.	Wet/cold delays that make soybean catch-up acreage easier.
Summer weather	July weather benign during corn pollination.	Late summer stress that keeps soybean pod-fill risk elevated.
Demand pulse	Ethanol, feed, or export demand strengthens.[4]	Crush, oil, or biofuel demand strengthens, or corn margins weaken. [5][17]

04 2026 seasonal event map

Official release times matter because ag markets often reprice fast around USDA surprises. Seasonal windows matter because corn and soybeans do not carry weather risk at the same time.



Phase	What matters most	Typical trade focus
Late Mar–Jun	Ratio, fertilizer, planting pace, March 31 and June 30 acreage/stocks reports.[11][14][15]	Acreage switch trades and report-event risk.
Jul	Corn pollination risk concentrates weather premium.	Corn outright, corn options, or long-corn relative spreads.
Aug–Sep	Soybean pod-fill risk and crush/oil signals matter more.	Soybean or soybean-oil overlays; relative-value rotation.
Oct–Nov	Harvest pressure, basis, carry, and logistics.	Reduce pure weather exposure; focus more on spreads and basis-sensitive ideas.

05 Setup library I

These are template setups—not forecasts. The edge comes from matching the right setup to the right regime, then defining invalidation before you enter.

Setup 1 — Acreage switch into soybeans

Thesis	When the soybean/corn price ratio moves above ~2.5 and fertilizer is rising, soybean economics improve relative to corn.[15]
Expression	Long November soybeans / short December corn. Optional overlay: long urea or fertilizer proxies.
Confirms	Ratio above ~2.5. • Urea or ammonia moving higher. • Wet or delayed spring that shortens the comfortable corn planting window. • Producer budget commentary turning more defensive on corn.
Invalidates	Corn demand surprises higher, fertilizer reverses sharply, or the acreage shift is already fully priced by the time USDA confirms it.

Setup 2 — Reverse acreage switch into corn

Thesis	When the ratio moves below ~2.5, fertilizer is benign, and planting pace is strong, corn can win acres and outperform beans.[15]
Expression	Long December corn / short November soybeans.
Confirms	Ratio below ~2.5. • Urea stable or softer. • Fast fieldwork pace. • Ethanol or export demand offering a second tailwind.[4]
Invalidates	Spring delays return, fertilizer spikes again, or soybean oil / crush starts driving the bean complex faster than acreage can help corn.

06 Setup library II

Setup 3 — Fertilizer squeeze trade

Thesis	Natural gas, ammonia, or urea rally faster than crop prices, squeezing corn margins first.[3][16]
Expression	Long fertilizer proxies or 10-Ton Urea U.S. Gulf against short corn or a long-soy / short-corn spread.[10]
Confirms	Energy strength feeding into fertilizer offers. • Retail or producer commentary on rising N bills. • Corn budget sensitivity becoming the dominant narrative.[16]
Invalidates	Crop prices rally enough to offset the input shock, or gas/fertilizer retraces before acreage or margins reset.

Setup 4 — Weather premium rotation

Thesis	Corn weather risk is most acute around pollination; soybean weather premium often persists later into pod fill.
Expression	Buy corn volatility or corn call spreads ahead of July stress; rotate into soy or soy-oil exposure if August dryness persists.
Confirms	Deteriorating crop conditions. • Soil-moisture stress and ridge patterns. • Tighter nearby spreads or weather-sensitive basis behavior.
Invalidates	Broad beneficial rainfall, improving crop conditions, or a seasonal premium that expands without fresh fundamental damage.

Setup 5 — Report shock protocol

- Major gap-risk dates in this playbook are March 31, monthly WASDE releases, and June 30 Acreage.[11][12][14]
- Size smaller into reports. If you want exposure but not full gap risk, prefer options or reduced-size spreads.
- Write three scenarios before the number hits: bullish surprise, bearish surprise, and mixed/ambiguous. Then trade the reaction against that framework instead of improvising.

07 Instruments and execution

Instrument	Best for	Notes
CME Corn futures (5,000 bu)[6]	Pure corn view	Direct acreage, yield, and demand expression.
CME Soybean futures (5,000 bu) [7]	Pure soybean view	Clean spread leg against corn.
CME Soybean Oil (60,000 lb)[8]	Oil/biofuel-led bean move	Separates oil demand from broad soybean strength.
CME Soybean Meal (100 short tons)[9]	Crush/feed confirmation	Useful when meal leads the bean complex.
CME 10-Ton Urea U.S. Gulf[10]	Precision fertilizer hedge	Smaller-sized fertilizer contract for input-cost exposure.
Fertilizer equities: Nutrien (NTR), CF Industries (CF), Mosaic (MOS) [18][19][20]	Equity proxy	Good when you want fertilizer exposure without pure commodity futures.

Execution rules

- Trade spreads when the thesis is relative. Use outright only when you want absolute supply/demand or weather exposure.
- Size down into USDA gap events. Report risk is different from ordinary intraday volatility.
- Use options when timing matters but you want defined risk.
- Distinguish price from margin: corn can rally and still underperform soybeans if inputs rise even faster.

08 Operating cadence and pre-trade ticket

Operating cadence

Cadence	Watch list	Why it matters
Daily	New-crop corn/soy ratio, urea/nat gas direction, headline weather changes, demand clues	Tells you which regime is actually in charge right now.
Weekly	Crop Progress at 4:00 p.m. on the first business day, crop condition vs. prior year and 5-year average, export/basis changes.[13]	Tracks whether the market is repricing acreage or weather risk.
Monthly/ Quarterly	WASDE, Grain Stocks, Prospective Plantings, Acreage.[11][12][14]	These are the main scheduled reset points for ag futures.

Pre-trade ticket

Hypothesis	
Expression	
Catalyst + date/time	
What confirms	
What invalidates	
Planned risk / max loss	
Primary exit	
Secondary hedge	

09 Selected sources

These sources were used for the current edition. Verify official calendars and contract specifications again on the day you trade.

- [1] Soybean fertilizer guidelines | UMN Extension. <https://extension.umn.edu/crop-specific-needs/soybean-fertilizer-guidelines>
- [2] Corn Fertilization | Mississippi State University Extension Service. <https://extension.msstate.edu/publications/corn-fertilization>
- [3] U.S. ammonia prices rise in response to higher international natural gas prices | EIA. <https://www.eia.gov/todayinenergy/detail.php?id=52358>
- [4] Ethanol explained | EIA. <https://www.eia.gov/energyexplained/biofuels/ethanol.php>
- [5] Biodiesel, renewable diesel, and other biofuels | EIA. <https://www.eia.gov/energyexplained/biofuels/biodiesel-rd-other-basics.php>
- [6] Corn Futures Contract Specs | CME Group. <https://www.cmegroup.com/markets/agriculture/grains/corn.contractSpecs.html>
- [7] Soybean Futures Contract Specs | CME Group. <https://www.cmegroup.com/markets/agriculture/oilseeds/soybean.contractSpecs.html>
- [8] Soybean Oil Futures Contract Specs | CME Group. <https://www.cmegroup.com/markets/agriculture/oilseeds/soybean-oil.contractSpecs.html>
- [9] Grain and Oilseed Futures and Options Fact Card | CME Group. <https://www.cmegroup.com/trading/agricultural/files/grain-and-oilseed-futures-options-fact-card.pdf>
- [10] FAQ: 10-Ton Urea U.S. Gulf Futures and Options | CME Group. <https://www.cmegroup.com/articles/faqs/faq-10-ton-urea-us-gulf-futures-and-options.html>
- [11] Agency Reports | USDA. <https://www.usda.gov/about-usda/reports-and-data/agency-reports>
- [12] WASDE Report | USDA. <https://www.usda.gov/about-usda/general-information/staff-offices/office-chief-economist/commodity-markets/wasde-report>
- [13] Crop Progress and Condition Survey Guide | USDA NASS. https://www.nass.usda.gov/Surveys/Guide_to_NASS_Surveys/Crop_Progress_and_Condition/index.php
- [14] Acreage | USDA Economics, Statistics, and Market Information System. <https://esmis.nal.usda.gov/publication/acreage>
- [15] Understanding the corn-soybean ratio and its uses | Michigan State University Extension. <https://www.canr.msu.edu/news/the-corn-soybean-ratio-and-its-potential-impact-on-farm-profits>
- [16] 2026 estimated costs of production in Iowa | Ag Decision Maker. <https://www.extension.iastate.edu/agdm/articles/hart/HarJan26b.html>
- [17] March 2026 WASDE Report | USDA. <https://www.usda.gov/oce/commodity/wasde/wasde0326.pdf>
- [18] Shareholder information | Nutrien. <https://www.nutrien.com/investors/shareholder-information>
- [19] Investor FAQs | CF Industries. <https://ir.cfindustries.com/Investors/resources/investor-faqs/default.aspx>
- [20] Investor FAQs | The Mosaic Company. <https://investors.mosaicco.com/resources/investor-faqs/default.aspx>

Educational use only. This playbook is a scenario framework, not investment advice. Futures and options involve substantial risk, including the risk of loss.